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Starbucks AI Insourcing Revives Software-Disruption Risk: React

(Bloomberg Intelligence) -- RECENT EVENT REACTION: Starbucks' development of in-house AI tools to replace certain IBM and Microsoft software products reinforces the AI-disruption narrative pressuring software stocks. Starbucks could save $10 million in spending by the end of the fiscal year, Bloomberg News reports, a modest 2.5% of its $400 million total budget, yet we believe the read-through can weigh on sentiment as weak non-AI enterprise IT spending shows little sign of a pickup. Critical systems-of-record software will likely be hard to replace, keeping the greatest disruption risk on solutions sold to smaller enterprises and add-on products. (07/09/26)

Microsoft-Mistral Pact Can Fuel Azure AI Growth in EU: React

RECENT EVENT REACTION: Microsoft's extended Mistral partnership can strengthen Azure's AI expansion in Europe by giving regulated customers more control over where and how they deploy models. The fully disconnected option directly targets clients wary of public-cloud exposure, while Mistral gives Microsoft a local model partner that may face fewer sovereignty objections than US or Chinese alternatives, boding well for Microsoft's medium-term cloud growth. Azure's constant-currency gains have been above 35% for the past few quarters, though it hasn't matched Google Cloud's sequential acceleration, leaving Europe-focused AI deployments a potential medium-term catalyst. (07/21/26)

Oracle Data-Center Delay Could Hinder Fiscal 2028 Sales: React

RECENT EVENT REACTION: Continued data-center delays in New Mexico could crimp Oracle's fiscal 2028 (ending May 2028) sales consensus of $131 billion, and potentially less on the 2027 outlook of $90.4 billion. The cloud provider is taking steps to financially protect itself from the site, according to Bloomberg News. During the earnings call on Sep. 10, co-CEO Clay Magouyrk clarified that the 2027 sales target of $90 billion doesn't depend on this site going live. Yet growing opposition and delays in permits elsewhere could have an impact not just on Oracle, but on the entire cloud infrastructure industry. Oracle has $664 billion in remaining performance obligations on its balance sheet, and getting new data-center capacity online is critical to converting this into sales. (09/24/26)

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